



Qualification Programme Examination Panelist's Report

Module 10 – Business and Company Law (December 2025 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Written Questions

General Comments

This paper was three hours in duration and consisted of six questions. The marks allocation among the eight major topics was as follows:

1. Company Law: 30%
2. Law for Public Companies: 10%
3. The Hong Kong Legal System and Regulatory Authorities: 5%
4. Law of Contract: 15%
5. Law of Employment: 10%
6. Law of Anti-Money Laundering and Prevention of Bribery & Corruption: 5%
7. Law of Agency: 10%
8. Law of Tort and Negligence: 15%

This paper was set on the syllabus prescribed by the HKICPA, which covers important topics on business and company law.

Candidates performed well on questions covering popular topics such as the court system. This can be seen in Question 1(c).

Candidates also did well on straightforward questions, such as the fiduciary duties owed by an employee to the employer (Question 1(a)), the law of negligence (Question 3(c)), and dormant status (Question 4(a)).

Some questions required the candidates to demonstrate their analytical skills and apply legal principles to case scenarios with reference to case law and/ or legislation. Stronger candidates demonstrated the analytical skills required for these questions, while weaker candidates failed to perform well on these questions. More details can be found in the specific comments below for Questions 2(b), 3(d), and 6.



Specific Comments

Question 1(a) – 10 Marks

This question required the candidates to discuss employees' breach of fiduciary duties owed to their employers and the legal consequences. Most candidates did well in this question, although a few candidates discussed trade secret, which was irrelevant to the question. Most candidates quoted the relevant case law.

Question 1(b) – 5 Marks

This question required the candidates to discuss anti-corruption law. The overall performance of the candidates was fair. Some candidates wrongly applied s.9(1), while the correct section should be s.9(2) instead.

Question 1(c) – 5 Marks

This question required the candidates to discuss the civil jurisdiction of the District Court. Most candidates did well in this question, although a few candidates included irrelevant information such as the jurisdiction of the Labour Tribunal, etc.

Question 2(a) – 10 Marks

This question required the candidates to discuss the different ways of discharging a contract. The overall performance of the candidates was fair. Although most candidates identified the key requirements of the question, some did not write a well-structured answer.

Question 2(b) – 5 Marks

This question required the candidates to discuss whether the tenancy agreement entered into between the two parties in the question was frustrated. Candidates performance was disappointing as they were unable to apply the relevant case information in their argument.

Question 3(a) – 4 Marks

This question required the candidates to explain the different ways to create an agency. Most candidates performed very well in this question.

Question 3(b) – 6 Marks

This question required the candidates to discuss apparent authority. The overall performance of the candidates was fair. Although most candidates correctly identified the key legal issue of apparent authority, many did not do well in applying the legal principle to the question.



Question 3(c) – 10 Marks

This question required the candidates to discuss negligence. Most candidates did well and applied the legal principle of negligence to the question.

Question 3(d) – 5 Marks

This question required the candidates to discuss the legal concept of "*novus actus interveniens*". The overall performance of the candidates was poor.

Question 4(a) – 6 Marks

This question required the candidates to discuss how a company can apply for dormant status and the advantages of being a dormant company. Most candidates performed well in this question.

Question 4(b) – 6 Marks

This question required the candidates to how to de-register a private company. Most candidates did well in this question.

Question 4(c) – 8 Marks

This question required the candidates to discuss how to dissolve a solvent company which is not a defunct company. The overall performance of most candidates was unsatisfactory as they most likely did not understand the legal concept of "voluntary winding-up" and its application.

Question 5(a) – 6 Marks

This question required the candidates to discuss the duties and liabilities of a partner of a general partnership. The overall performance of most candidates was good.

Question 5(b) – 4 Marks

This question required the candidates to discuss joint and several liability of partners of a general partnership. The overall performance of the candidates was poor as they seemed not to understand the legal concept of "joint and several liability".

Question 6 – 10 Marks

This question required the candidates to discuss insider dealing. The overall performance of most candidates was fair. Some candidates were able to identify the legal issue of insider dealing in this question.



(III) Conclusion and Recommendation

Overall, candidates performed well on topics such as fiduciary duties of an employee, the court system, the law of negligence, and dormant status.

However, it appears that candidates may not have sufficiently covered the syllabus in depth. Thus, many of them did not perform well on less popular topics such as "voluntary winding-up". More importantly, they were weak in topics which involved more complicated legal analysis such as frustration and "*novus actus interveniens*". Candidates are required to give their analysis based on the given case scenario.

Candidates are reminded that this paper aims to cover all topics to test the candidates' ability to apply their legal knowledge in specific situations. As a result, candidates are advised to study all important business and company law topics. Thus, it is not advisable for candidates to focus only on two to three topics.

Some candidates showed difficulty in identifying the key issues of the questions. As a result, many candidates appear to have chosen to write what they knew about the topic and thus failed to identify and discuss the specific issues of the questions. Candidates are reminded to apply the relevant legal principles to resolve the issues in the questions in order to score higher marks.

Most candidates were able to complete all the questions of the paper within the prescribed time, although some candidates did not answer all parts of the questions. Candidates are reminded to make a reasonable attempt to answer all questions.

As most of the topics in the syllabus, such as contract law and company law, are governed by case law as well as legislation, candidates are advised to study and apply both case law and legislation when answering questions.